

Here are 25 additional MCQs designed to be more challenging (medium and hard difficulty), based on your course materials. These questions require more analysis, synthesis, and comparison of concepts.

Practice Exam - Set 2 (Advanced)

Instructions: These questions are designed to test the deeper connections between your lecture topics.

1. (Week 1 & 7) Synthesis: A company like Dalda, which sells "Emotions" (Week 1), is primarily leveraging which branding concept (Week 7)?
 - a) Brand Avatar
 - b) Brand Persona
 - c) Brand Storytelling and Emotional Connection
 - d) Color Palette
2. (Week 1 & 4) Analysis: A company identifies that its customers' biggest Financial Pain Point is the high upfront cost of their product. Which Pricing Strategy would be the most direct solution to this pain point?
 - a) Price Skimming
 - b) Psychological Pricing
 - c) Penetration Pricing
 - d) Penetration Pricing or offering flexible Payment Terms
3. (Week 2) Hard: A company thinks its positioning is "The highest quality." However, its customers consistently perceive it as "The most expensive, but not the best." According to the lecture, which positioning is the correct one?
 - a) The company's, because it's their strategy.
 - b) The customers', because positioning is the "image... in the consumer's mind."
 - c) Neither, until a new ad campaign is run.
 - d) Both are correct, as this is a "Positioning Conflict."
4. (Week 2 & 4) Synthesis: A company using a "Niche Marketing" strategy (Week 2) would most likely avoid which of the "4Ps" (Week 4)?
 - a) A Product with highly specialized features.
 - b) A Price set by a Price Skimming strategy.
 - c) A Place (channel) that is highly exclusive.
 - d) A Promotion strategy that uses mass-market TV advertising.
5. (Week 3) Hard: A startup's Value Proposition Canvas (VPC) has "Pain Relievers" that address "Customer Gains," and "Gain Creators" that address "Customer Pains." Why is this VPC flawed?
 - a) This is not flawed; it is a creative approach.
 - b) It's a fundamental mismatch; Pain Relievers must map to Pains, and Gain Creators to

Gains.

- c) The "Products & Services" section is missing.
 - d) The "Customer Jobs" are not clearly defined.
6. (Week 3 & 4) Synthesis: Starbucks' "Strategic Inauthenticity" (Week 3) can be seen as an application of which "Six Paths Framework" (Week 4) concept?
- a) Path 1: Looking Across Alternative Industries
 - b) Path 2: Looking Across Strategic Groups (i.e., "experts" vs. "amateurs")
 - c) Path 5: Looking Across Functional/Emotional Appeal
 - d) Path 6: Looking Across Time (Trends)
7. (Week 4) Analysis: The primary strategic danger of a Red Ocean Strategy is:
- a) It is difficult to find and capture new demand.
 - b) It can be expensive to break the value-cost trade-off.
 - c) It often leads to a "race to the bottom" on price, eroding profits.
 - d) It requires too much Value Innovation.
8. (Week 4) Hard: A company uses the ERRC Grid to design a new service. It Eliminates (E) lounges, Reduces (R) ticket prices, Raises (R) flight frequency, and Creates (C) an easy online-booking-only system. This company has most likely:
- a) Created a "Me-Too" product that will fail.
 - b) Created a new value curve, breaking the value-cost trade-off.
 - c) Focused only on Low Cost, ignoring Differentiation.
 - d) Focused only on Differentiation, ignoring Low Cost.
9. (Week 5) Hard (Comparison): How would the advice from the FCB Model and the AIDA Model differ for a low-involvement, thinking product (e.g., toothpaste)?
- a) AIDA would be irrelevant, while FCB would be the only useful model.
 - b) AIDA would focus on "Attention," while FCB would suggest "Feel $\rightarrow$ Learn $\rightarrow$ Do."
 - c) AIDA would focus on creating "Desire," while FCB would focus on "Do $\rightarrow$ Learn $\rightarrow$ Feel" (e.g., free samples, coupons).
 - d) Both models would suggest an identical, information-heavy strategy.
10. (Week 5) Analysis: An advertisement for a High-Involvement, Feeling product (like an engagement ring) fails. According to the FCB model, what is the most likely reason for its failure?
- a) The ad failed to create an emotional connection (Feel).
 - b) The ad did not list enough technical specifications (Learn).
 - c) The ad did not have a "Buy Now!" button (Do).
 - d) The ad was not shown next to a competitor's ad.
11. (Week 5) Hard: An ad is seen (Perception), understood (Learning), but ultimately not believed by the audience. According to Moriarty's Domain Model, it has failed in which domain?
- a) Perception Domain
 - b) Learning Domain
 - c) Persuasion Domain
 - d) It has not failed, as it was seen and understood.

12. (Week 5) Medium: An ad by the government states, "Don't text and drive." This is a classic example of:
- a) Direct-Response Advertising
 - b) B2B Advertising
 - c) Retail Advertising
 - d) Public Service Advertising (PSA)
13. (Week 6) Analysis: A Meta ad campaign has an extremely high CTR (Click-Through Rate) but an extremely low ROAS (Return on Ad Spend). What is the most likely problem?
- a) The ad creative is boring and un-clickable.
 - b) The ad creative is "clickbait" (very catchy) but is being shown to the wrong audience, who do not buy.
 - c) The ad budget is set too low.
 - d) The ad is in the "learning phase."
14. (Week 6) Hard: A marketer wants to test 5 new audiences. They have one "winning" ad creative. They duplicate their winning ad set 5 times, keeping the creative the same but changing the audience in each new ad set. This is a perfect example of:
- a) Vertical Scaling
 - b) Horizontal Scaling
 - c) The Ad Auction
 - d) The Awareness Objective
15. (Week 6) Medium: According to the "Meta Ad Creative Strategies" PDF, which of the following is a mistake?
- a) Starting by studying your audience's native behavior.
 - b) Testing "big swings" (e.g., video vs. static) first.
 - c) Diversifying your creative mix (e.g., UGC, high-pro).
 - d) Starting by defining your brand and its guidelines.
16. (Week 6) Analysis: The "Total Value" formula ($\text{Bid} \times \text{Action Rate} + \text{Ad Quality}$) means that an advertiser with a lower budget can still beat an advertiser with a higher budget if:
- a) Their ad is of much higher quality and relevance.
 - b) They run their ad at midnight.
 - c) They are using Vertical Scaling.
 - d) They are using a "Traffic" objective.
17. (Week 7) Hard: A brand has a strong, mature Brand Persona (e.g., "rugged, independent, male") but its Brand Avatar (e.g., a cartoon mascot) is seen as childish and silly. This is a critical failure in:
- a) Alignment between persona and avatar.
 - b) The brand's color palette.
 - c) The brand's origin story.
 - d) The brand's mission statement.
18. (Week 7) Medium: A brand's Origin Story (e.g., "We were started by two friends in a garage...") is a key component of its:
- a) Brand Persona
 - b) Brand Avatar

- c) Brand Storytelling
 - d) Color Palette
19. (Week 7) Analysis: The "Truffelle" case study's slogan, "Where Every Bite Tells a Story," is an explicit attempt to:
- a) Define the brand's persona (Amara).
 - b) Create a brand avatar (ChocoBuddy).
 - c) Make storytelling a core part of the brand's identity.
 - d) Justify its color palette.
20. (Week 8) Medium: A retailer (like a supermarket) that sells high-volume, perishable goods (like milk) with a predictable demand would most benefit from which distribution model?
- a) Direct-to-Store Model
 - b) A complex, multi-stage warehouse model.
 - c) A single-unit retailer model.
 - d) No model, as the goods are perishable.
21. (Week 8) Analysis: A company's Merchandise Plan fails. They had a great product (Innovativeness) and launched it at the right time (Timing), but they produced 1,000,000 units when demand was only for 10,000. This is a failure of:
- a) Innovativeness
 - b) Forecasts
 - c) Assortment
 - d) Allocation
22. (Week 8) Hard: A company's Merchandise Plan is flawed. It plans for a wide Assortment of products to be sold through multiple Channels (website, stores, app). However, its Allocation plan only sends inventory to the central warehouse. What is the most likely outcome?
- a) Perfect inventory turnover.
 - b) The warehouse hub model will work perfectly.
 - c) Stockouts in all channels, as the plan doesn't distribute products from the hub to the channels.
 - d) The "Timing" of the launch will be wrong.
23. (Week 4 & 8) Synthesis: A "Blue Ocean" Innovativeness (Week 8) would most likely require a company to:
- a) Follow the exact same supply chain as competitors.
 - b) Re-evaluate its entire supply chain (Allocation, Timing) to support the new value curve.
 - c) Focus only on Forecasting and ignore Assortment.
 - d) Only use a Direct-to-Store model.
24. (Week 1-8) Synthesis: An entrepreneur Identifies a Pain Point (Week 1), defines their Target Segment (Week 2), builds a VPC (Week 3), creates a Blue Ocean strategy (Week 4), and uses the FCB Model (Week 5) to launch a Meta Ad (Week 6). This entire process can be described as:
- a) The Entrepreneurial Process
 - b) The Advertising Process
 - c) The Merchandise Plan

- d) The Brand Story
25. (Week 2 & 5) Hard: A company has excellent Positioning (Week 2), but its ads fail. It runs an ad that is Informative (FCB) for a product that is Low-Involvement/Feeling (e.g., a candy bar). Why did it fail?
- a) The ad should have been Habitual (Do $\rightarrow$ Learn $\rightarrow$ Feel).
 - b) The ad should have been Satisfaction (Do $\rightarrow$ Feel $\rightarrow$ Learn).
 - c) The ad should have been Affective (Feel $\rightarrow$ Learn $\rightarrow$ Do).
 - d) The ad's Positioning was wrong.
-

Answer Key (Hard/Medium Set)

- 1. **c) Brand Storytelling and Emotional Connection**
- 2. **d) Penetration Pricing or offering flexible Payment Terms** (Pricing strategy includes terms)
- 3. **b) The customers', because positioning is the "image... in the consumer's mind."**
- 4. **d) A *Promotion* strategy that uses mass-market TV advertising.**
- 5. **b) It's a fundamental mismatch; Pain Relievers must map to Pains, and Gain Creators to Gains.**
- 6. **b) Path 2: Looking Across Strategic Groups (i.e., "experts" vs. "amateurs")**
- 7. **c) It often leads to a "race to the bottom" on price, eroding profits.**
- 8. **b) Created a new value curve, breaking the value-cost trade-off.** (This is the classic ERRC for a Blue Ocean).
- 9. **c) AIDA would focus on creating "Desire," while FCB would focus on "Do $\rightarrow$ Learn $\rightarrow$ Feel" (e.g., free samples, coupons).**
- 10. **a) The ad failed to create an emotional connection (Feel).**
- 11. **c) Persuasion Domain**
- 12. **d) Public Service Advertising (PSA)**
- 13. **b) The ad creative is "clickbait" (very catchy) but is being shown to the wrong audience, who do not buy.**
- 14. **b) Horizontal Scaling**
- 15. **d) Starting by defining your brand and its guidelines.** (The slide says "DON'T" do this first).
- 16. **a) Their ad is of much higher quality and relevance.**
- 17. **a) Alignment between persona and avatar.**
- 18. **c) Brand Storytelling**
- 19. **c) Make storytelling a core part of the brand's identity.**
- 20. **a) Direct-to-Store Model** (This minimizes warehouse time for perishables).
- 21. **b) Forecasts**
- 22. **c) Stockouts in all channels, as the plan doesn't distribute products *from* the hub to the channels.**

- 23. **b) Re-evaluate its entire supply chain (Allocation, Timing) to support the new value curve.**
- 24. **a) The Entrepreneurial Process** (All these are steps within the broader process).
- 25. **b) The ad should have been *Satisfaction* (Do $\rightarrow$ Feel $\rightarrow$ Learn).** (Quadrant 4: Low-Involvement/Feeling).